

ELIZABETH II



1985 CHAPTER ix

An Act to provide for the vesting in Lloyds Bank Plc of the undertaking of Lloyds Bank International Limited; and for other purposes. [9th May 1985]

WHEREAS—

(1) Lloyds Bank Plc (hereinafter called “Lloyds”) is a public company incorporated under the Companies Act 1862 as a 1862 c. 89. company limited by shares:

(2) Lloyds Bank International Limited (hereinafter called “LBI”) is a private company incorporated under the Companies Acts 1948 to 1967 as a company limited by shares under the name of Lloyds & Bolsa International Bank Limited and is a wholly-owned subsidiary of Lloyds:

(3) Both Lloyds and LBI are recognised banks under the Banking Act 1979 and carry on the business of banking in the 1979 c. 37. United Kingdom and elsewhere, LBI with its subsidiaries being principally concerned in the international business of the Lloyds group of companies:

(4) For the better conduct of the business of the said group, it is expedient that provision be made for the fusion of undertakings by which that business is carried on by vesting in Lloyds the undertaking of LBI and that that fusion of undertakings should be effected without interference with the conduct and continuity of that business:

(5) It is expedient that the other provisions in this Act should be enacted:

(6) The objects of this Act cannot be attained without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short title. 1. This Act may be cited as the Lloyds Bank (Merger) Act 1985.

Interpretation. 2.—(1) In this Act, unless the subject or context otherwise requires—

1972 c. vi. “1972 Act” means the Lloyds & Bolsa International Bank Act 1972;

“appointed day” means such day as shall be appointed under section 3 of this Act, and for any part of the undertaking means the day so appointed for that part;

“customer” means any person having a banking account or other dealing, transaction or arrangement with LBI or, as the case may be, Lloyds;

“existing” means existing, outstanding or in force immediately before the appointed day;

“liabilities” includes duties and obligations of every description (whether present or future, actual or contingent);

“LBI” means Lloyds Bank International Limited;

“Lloyds” means Lloyds Bank Plc;

“property” means property and assets of every description and rights of every description (whether present or future, actual or contingent), and includes property held on trust and securities, benefits and powers of every description;

“security” includes a mortgage or charge (whether legal or equitable), debenture, bill of exchange, promissory note, guarantee, lien, pledge (whether actual or constructive), hypothecation, assignment by way of security, indemnity, right of set-off, undertaking or

other means of securing payment or discharge of a liability (whether present or future, actual or contingent);

“the undertaking” means the business and all existing property and liabilities of LBI of whatsoever nature, except documents required to be kept by LBI pursuant to the provisions of the Companies Acts 1948 to 1983;

“will” includes a codicil and any other testamentary writing.

(2) In sections 8, 9, 10 and 11 of this Act the appointed day is the day appointed for the general purposes of this Act.

(3) Any reference in this Act to property or liabilities of LBI is a reference to property or liabilities to which LBI is for the time being entitled or subject (whether beneficially or in any fiduciary capacity), wherever such property or liabilities are situated or arise and whether or not capable of being transferred or assigned by LBI, and whether LBI is entitled or subject to the property or liabilities under the law of any part of the United Kingdom or under the law of any country or territory outside the United Kingdom.

3.—(1) The directors of Lloyds shall appoint a day to be the appointed day for the general purposes of this Act and, for the purposes of section 4 (3) of this Act, they may appoint different days for different parts of the undertaking. Appointed day.

(2) Lloyds shall publish in the London Gazette notice of any day appointed under this section, stating whether it is the appointed day for the general purposes of this Act or for part only of the undertaking and describing the countries or territories for which it is relevant.

4.—(1) Subject as provided in subsections (2) and (3) below, on the appointed day the undertaking shall, by virtue of this Act and without further assurance, vest in Lloyds as if in all respects Lloyds were the same person in law as LBI. Vesting of LBI's undertaking in Lloyds.

(2) Where the vesting of any property or liabilities of LBI is governed wholly or partly by the law of any country or territory outside the United Kingdom, LBI shall, if Lloyds so requires, take all necessary steps for the purpose of securing the vesting thereof in Lloyds.

(3) If, under the law of any country or territory outside the United Kingdom, the date for the vesting of any property or liabilities of LBI in Lloyds in pursuance of a requirement made under subsection (2) above is later than the appointed day for the general purposes of this Act, the directors of Lloyds shall appoint that later date as the day for the vesting in Lloyds of the part of the undertaking which comprises that property and

those liabilities, whether or not that part also includes property or liabilities the vesting of which is wholly or partly governed by the law of the United Kingdom or any other country or territory.

Trust property
and wills.

5.—(1) Any property vested in Lloyds by virtue of this Act which immediately before the appointed day was held by LBI, whether alone or jointly with any other person, as trustee or custodian trustee of any trust deed, settlement, covenant, agreement or will (whether originally so appointed or not, and whether appointed under hand or seal, or by order of any court), or as executor of the will, or administrator of the estate, of a deceased person or as judicial trustee appointed by order of any court, or in any other fiduciary capacity, shall, on and from the appointed day, be held by Lloyds alone or, as the case may be, jointly with such other person, in the same capacity upon the trusts, and with and subject to the powers, provisions and liabilities, applicable thereto respectively.

(2) Any existing instrument or order of any court under or by virtue of which (whether alone or by the operation of the 1972 Act) any property became vested in LBI in any such fiduciary capacity (including in the case of a will any grant of probate thereof), and any provision therein or any existing contract or arrangement for the payment to, or retention by, LBI of remuneration for its services in any such fiduciary capacity, shall, on and from the appointed day, be construed and have effect, so far as the context permits, as if for any reference therein (whether original or by the operation of the 1972 Act) to LBI, other than a reference (however worded and whether express or implied) to terms and conditions of LBI or to a scale of fees of LBI, there were substituted a reference to Lloyds.

(3) No testamentary gift shall be adeemed by reason only of the operation of any of the provisions of this Act.

Supplementary
provisions.

6. Without prejudice to the generality of the foregoing provisions but subject to any provision of this Act to the contrary effect, the following provisions of this section shall have effect in relation to the undertaking or any part thereof:—

(1) Every contract to which LBI is a party (whether in writing or not) shall have effect on and from the appointed day as if—

(a) Lloyds had been a party thereto instead of LBI;

(b) for any reference (however worded and whether express or implied) to LBI there were substituted, as respects anything falling to be done on or after the appointed day, a reference to Lloyds;

(c) any reference (however worded and whether express or implied) to the directors or to any director, officer or employee of LBI were, as respects anything falling to be done on or after the appointed day, a reference to the directors of Lloyds or, as the case may require, to such director, officer or employee of Lloyds as Lloyds may appoint for that purpose or, in default of appointment, to the director, officer or employee of Lloyds who corresponds as nearly as may be to the first-mentioned director, officer or employee; and

(d) where the contract relates to property or liabilities which are for the time being only partly vested in Lloyds, the contract, to the extent to which it is enforceable by and against LBI, constituted two separate contracts, one of which is enforceable by and against Lloyds as regards the part of the property or liabilities so vested in it and not as regards the other part, and the other of which is enforceable by and against LBI as regards the part of the property or liabilities not so vested in Lloyds and not as regards the other part:

- (2) Sub-paragraphs (b) and (c) of paragraph (1) above shall apply to any statutory provision, to any provision of any existing contract to which LBI was not a party and to any provision of any other existing document (not being a contract or a will) as they apply to a contract to which that paragraph applies:

Provided that the said sub-paragraphs (b) and (c) shall not apply to any existing authorisation or exemption under any enactment regulating the carrying on of the business of LBI:

- (3) Any account between LBI and a customer shall, on the appointed day, become an account between Lloyds and the customer subject to the same conditions and incidents as theretofore; and such account shall be deemed for all purposes to be a single continuing account:

Provided that nothing herein shall affect any right of Lloyds or of the customer to vary the conditions or incidents subject to which any account is kept:

- (4) Any existing instruction, order, direction, mandate, power of attorney, authority, undertaking or consent given to LBI (whether in writing or not and whether or not in relation to an account) shall have effect, on and from the appointed day, as if given to Lloyds:
- (5) Any negotiable instrument or order for payment of money drawn on or given to, or accepted or endorsed

by, LBI, or payable at any place of business of LBI, whether so drawn, given, accepted or endorsed before, on or after the appointed day, shall have the same effect on and from the appointed day, as if it had been drawn on, or given to, or accepted or endorsed by Lloyds, or were payable at the same place of business of Lloyds:

- (6) The custody of any document or record, goods or other thing held by LBI as bailee shall pass to Lloyds on the appointed day, and the rights and obligations of LBI under any contract of bailment relating to any such document or record, goods or thing shall on that day become rights and obligations of Lloyds:
- (7)
 - (a) Any security held immediately before the appointed day by LBI, or by a nominee or agent of or trustee for LBI, as security for the payment or discharge of any liability shall, on and from the appointed day, be held by, or, as the case may require, by that nominee, agent or trustee for, Lloyds, and be available to Lloyds (whether for its own benefit or, as the case may be, for the benefit of any other person) as security for the payment or discharge of that liability;
 - (b) In relation to any security vested in Lloyds in accordance with the provisions of this Act and any liabilities thereby secured, Lloyds shall be entitled to the rights and priorities and be subject to the obligations and incidents to which LBI would have been entitled and subject if it had continued to hold the security;
 - (c) Without prejudice to the generality of sub-paragraph (b) above, in any case where any existing liability subsists between LBI and Lloyds in respect of which LBI or Lloyds, or a nominee or agent of or trustee for LBI or Lloyds, holds security, that liability shall, for the purpose of enforcing or realising that security, be deemed to continue in effect notwithstanding the vesting in Lloyds of the undertaking or any part thereof;
 - (d) Any security referred to in the foregoing provisions of this paragraph which extends to future advances or liabilities shall, on and from the appointed day, be available to Lloyds (whether for its own benefit or, as the case may be, for the benefit of any other person) as security for the payment or discharge of future advances and future liabilities to the same extent and in the same manner in all respects as future advances by, or liabilities to, LBI or, as the case may be, Lloyds were secured thereby immediately before that day:

(8) Where by virtue of this Act any right or liability of LBI becomes a right or liability of Lloyds, Lloyds and all other persons shall, on and from the appointed day, have the same rights, powers and remedies (and in particular the same rights and powers as to taking or resisting legal proceedings or making or resisting applications to any authority) for ascertaining, perfecting or enforcing that right or liability as if it had at all times been a right or liability of Lloyds; and any legal proceedings or application to any authority existing or pending immediately before the appointed day by or against LBI may be continued by or against Lloyds:

(9) Any judgment or award obtained by or against LBI and not fully satisfied before the appointed day shall on that day, to the extent to which it is enforceable by or against LBI, become enforceable by or against Lloyds.

7.—(1) Paragraph (1) of section 6 (Supplementary provisions) of this Act applies to a contract for the employment of any person by LBI; and employment with LBI and Lloyds under any such contract shall be deemed for all purposes to be a single continuing employment. Contracts of employment.

(2) No director, secretary or auditor of LBI shall by virtue only of this Act become a director, secretary or, as the case may be, auditor of Lloyds.

8.—(1) The trust deeds and rules constituting or relating to the LBI Pension Scheme shall, on and from the appointed day, be construed and have effect, so far as the context permits, as if for any reference therein to LBI there were substituted a reference to Lloyds. Pensions.

(2) No officer or employee of LBI who becomes an officer or employee of Lloyds by virtue of this Act shall, by virtue of this Act, be entitled to participate in the Lloyds Bank Pension Scheme or any other pension fund established by Lloyds, and no existing officer or employee of Lloyds shall, by virtue of this Act, be entitled to participate in the LBI Pension Scheme.

9.—(1) All books and other documents which would, before the appointed day, have been evidence in respect of any matter for or against LBI shall be admissible in evidence in respect of the same matter for or against Lloyds. Evidence:
books and
documents.

(2) In this section “documents” has the same meaning as in section 10 of the Civil Evidence Act 1968.

1968 c. 64.

Application of
Bankers'
Books
Evidence Act
1879.
1879 c. 11.

10.—(1) On and from the appointed day the Bankers' Books Evidence Act 1879 shall apply to the books of LBI vested in Lloyds by virtue of this Act, and to entries made in those books before the appointed day, as if such books were the books of Lloyds.

(2) For the purposes of section 4 of the said Act of 1879, books which have become the books of Lloyds by virtue of this Act shall be deemed to have been the ordinary books of Lloyds at the time of the making of any entry therein which purports to have been made before the appointed day, and any such entry shall be deemed to have been made in the usual and ordinary course of business.

(3) In this section "books" shall be construed in accordance with section 9(2) of the said Act of 1879.

Evidence of
vesting.

11.—(1) The production of a Queen's Printer's copy of this Act shall, for all purposes, be conclusive evidence of the vesting of any property and liabilities of LBI in Lloyds in accordance with the provisions of this Act.

(2) The following provisions of this section have effect without prejudice to the generality of subsection (1) above.

1963 c. 18.

(3) A Queen's Printer's copy of this Act shall, in relation to any registered securities within the meaning of the Stock Transfer Act 1963 vested in Lloyds in accordance with the provisions of this Act, operate for all the purposes of the said Act of 1963 or of the Stock Exchange (Completion of Bargains) Act 1976 as a duly executed stock transfer in respect of the transfer of such securities from LBI to Lloyds.

1976 c. 47.

(4) Any document made or executed on or after the appointed day, whereby Lloyds or LBI, whether alone or jointly with any other person, conveys or transfers, or purports to convey or transfer, to any person (whether for consideration or not), or applies to be registered as the holder or proprietor of, any property held by LBI immediately before the appointed day, whether alone or jointly with any other person, shall be sufficient evidence that the interest of LBI in that property—

(a) in the case of such a document referring to the property as property held by Lloyds, is vested in Lloyds under this Act; and

(b) in the case of such a document referring to the property as property held by LBI, is not vested in Lloyds under this Act.

(5) Where there is any other transaction by Lloyds or LBI on or after the appointed day in connection with, or in relation to, any property or liabilities which are property or liabilities of

LBI immediately before that day, it shall be deemed in favour of any other party to the transaction, or any person claiming through or under him, that Lloyds or, as the case may be, LBI has full power and authority for that transaction as if—

- (a) in the case of a transaction by Lloyds, the property or liabilities were vested in it under this Act; and
- (b) in the case of a transaction by LBI, the property or liabilities were not vested in Lloyds under this Act.

(6) A joint certificate given by or on behalf of LBI and Lloyds, whether given before, on or after the appointed day, that any property or liabilities specified in the certificate is or is not at the date so specified vested in Lloyds under this Act, shall be conclusive evidence for all purposes of the fact so certified.

(7) Nothing in subsections (4) and (5) above affects the liability of LBI or Lloyds to the other of them in respect of anything done, or purporting to have been done, by either of them in connection with, or in relation to, any property or liabilities.

(8) In this section “convey” has the same meaning as in the Law of Property Act 1925. 1925 c. 20.

12. The vesting of an interest in land by or under this Act shall not— Interests in land.

- (a) constitute a purchase or creation of that interest for the purposes of section 30(2) of the Landlord and Tenant Act 1954; 1954 c. 56.
- (b) constitute an assignment, transfer, devolution, alienation, parting with possession, dealing with or other disposition of that interest for the purposes of any provision contained in any instrument concerning that interest;
- (c) give rise to any forfeiture;
- (d) invalidate or discharge any contract or security; or
- (e) operate so as to merge any leasehold interest in the reversion expectant on it.

13. Nothing in this Act shall exempt Lloyds or LBI or any other subsidiary of Lloyds from the provisions of any enactment regulating the carrying on of the business of any of them. Saving for enactments concerning banking institutions.

Saving for
companies.

14. Nothing in this Act shall prejudice the powers of Lloyds to alter its memorandum and articles of association or to dispose of, or deal with, its assets or to carry on or discontinue any part of its business; and nothing in this Act shall prejudice the powers of LBI to dispose of, or deal with, its assets before the appointed day.

Application to
Scotland and
Northern
Ireland.

15.—(1) This Act shall extend to Scotland and Northern Ireland.

(2) In the application of this Act to Scotland the following provisions shall have effect:—

(a) In the construction of this Act—

“assignment” includes an assignation;

“bailee” includes a custodier, and “contract of bailment” includes any other contract regulating custody of things;

“convey” includes the execution of any deed or other instrument or document by which any property, or any estate, interest, security or other right in or over property, is constituted, completed, disposed, assigned, transmitted or discharged;

“debenture” includes a floating charge or any instrument containing a floating charge;

“forfeiture” includes an irritancy;

“judgment” includes a decree;

“judicial trustee” includes a judicial factor;

“mortgage” includes a standard security, an assignation or disposition ex facie absolute and any agreement qualifying the same, a bond and disposition or assignation in security, a cash credit bond and disposition or assignation in security, an assignation in security and any real right or burden of whatever kind in the nature of a security; and

“will” includes a trust disposition and settlement and any deed taking effect on the death of any person whereby any part of his estate is disposed of, or under which a succession thereto arises:

(b) All standard securities and cash credit bonds and dispositions or assignations in security expressed to be in favour of LBI vested in Lloyds by or under this Act shall, on and from the appointed day, have the same effect in favour of Lloyds up to such maximum amounts as may be stated therein respectively in all respects as if they had been originally granted in favour of Lloyds for such maximum amounts:



Lloyds Bank (Merger) Act 1985

CHAPTER ix

ARRANGEMENT OF SECTIONS

Section

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- (c) To enable Lloyds to complete a title, if thought fit, to any property vested in it by virtue of this Act by notice of title or otherwise, or to deduce title, this Act shall be deemed to be, and may be used as, a general disposition, conveyance or, as the case may be, assignation of such property in favour of Lloyds:
- (d) For the reference in subsection (2) of section 9 (Evidence: books and documents) of this Act to section 10 of the Civil Evidence Act 1968 there shall be substituted reference to section 17 of the Law Reform (Miscellaneous Provisions) (Scotland) Act 1968: 1968 c. 64.
1968 c. 70.
- (e) In section 11 (Evidence of vesting) of this Act, subsection (8) shall be omitted.
- (3) In the application of this Act to Northern Ireland—
 - (a) for the reference in subsection (2) of section 9 (Evidence: books and documents) of this Act to section 10 of the Civil Evidence Act 1968 there shall be substituted reference to section 6 of the Civil Evidence Act (Northern Ireland) 1971; 1971 c. 36.
(N.I.)
 - (b) the references in subsection (3) of section 11 (Evidence of vesting) of this Act to the Stock Transfer Act 1963 and to the Stock Exchange (Completion of Bargains) Act 1976 shall include references to the Stock Transfer Act (Northern Ireland) 1963 and the Stock Exchange (Completion of Bargains) (Northern Ireland) Order 1977 respectively; and for the reference in subsection (8) of that section to the Law of Property Act 1925 there shall be substituted reference to the Conveyancing Act 1881; 1963 c. 18.
1976 c. 47.
1963 c. 24
(N.I.)
S.I. 1977/1254
(N.I. 21).
1925 c. 20.
1881 c. 41.
 - (c) for paragraph (a) of section 12 (Interests in land) of this Act there shall be substituted the following:—
 - “(a) constitute a purchase or creation of an estate for the purposes of section 10(3) of the Business Tenancies Act (Northern Ireland) 1964;”.1964 c. 36
(N.I.).

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